BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

January 2020

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Prepared Supplemental Testimony of:

Staff Policy Panel

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Q. Members of the Staff Policy Panel (Panel), please state your names.

A. Aric Rider, Chelsea Kruger, Ronald Calkins, Kwaku Duah, and Kathryn Mammen.

Q. Has the Panel previously submitted testimony in these proceedings?

A. Yes, we submitted pre-filed direct testimony on August 30, 2019.

Q. In this testimony, will you refer to or rely on any responses to information requests (IRs)?

A. Yes. We have included the responses to IRs that we have relied on in Exhibit___(SPP-4). We will refer to those responses in our testimony by the designation given to them when asked, for example, DPS-123.

**Second Supplemental Filing**

Q. What was the purpose of the Companies' second supplemental testimonies?

A. The purpose of KEDNY and KEDLI's second supplemental testimony was to update the Companies' capital and O&M expense forecasts to incorporate changes necessary to implement the recent settlement agreement adopted by the

Commission in Case 19-G-0678. The settlement concerned gas supply constraints in their service territories and lifting the moratorium on new customers connections that the Companies imposed.

Q. Did the Companies also propose revisions to certain contractor cost projections?

A. Yes.

Q. Please explain why the Companies propose to revise their contractor costs.

A. As described on page 15 of the Second Supplemental Testimony of the Gas Instructure and Operations Panel (GIOP), the Companies have completed contract renegotiations with certain contractors that will provide necessary services in the Rate Year and Data Years. According to the Companies, these negotiations have resulted in a known and measurable decrease to the unit costs of KEDLI's Proactive Main Replacement (LPP) capital expenditure program, and an increase to the damage prevention mark-out operation and maintenance (O&M) costs for both Companies. The Companies propose to use these new costs to revise their capital and O&M

expense forecasts.

Q. Please describe the revision to the forecast for KEDLI's LPP Program.

A. As described on page 15 of the Second Supplemental Testimony of the GIOP, KEDLI renegotiated its agreement with a contractor that provides services for the Proactive Main LPP capital program, and this new agreement resulted in a reduction of the Companies' projection of the program's unit cost from $306 per foot, to $304 per foot. This revision in the cost per food reduces KEDLI's capital expenditure forecast by $1.9 million in the Rate Year.

Q. Do you have any adjustments relating to KEDLI's change to the forecast for its Proactive Main LPP capital program.

A. We are not addressing that request. The Staff Gas Infrastructure and Operations Panel addresses this change in its supplemental testimony.

Q. Please explain damage prevention mark-outs and how the O&M costs of these mark-outs are reflected in the Companies' rate filings.

A. As stated on pages 16 and 17 of the Second Supplemental Testimony of GIOP, the Companies' damage prevention mark-out work is required to support KEDLI's projects, and when customers, third parties, and/or municipalities contact New York State's Dig Safe One Call Center. KEDNY uses internal employees to locate facilities on Company-related jobs and a contractor for all third-party Dig Safe mark-out requests. KEDLI sends all Dig Safe mark-out requests, whether internal or external, to a contractor to mark-out facilities. The costs associated with damage prevention mark-outs are included in KEDNY's O&M expense and KEDLI's O&M expense and capital expenditure forecasts. To prepare the rate case forecasts in their initial filing, the Companies increased the O&M expense components from the Historic Test Year by standard annual inflation to arrive at their Rate Year projections.

Q. Please explain the recent developments that the Companies' claim will affect the contractor cost component of damage prevention mark-out costs.

A. As explained on page 17 of the Second Supplemental Testimony of the GIOP, on August 19, 2019, the Companies solicited contractor bids for their damage prevention mark-out work. Bids were received from contractors on September 16, 2019. Thereafter, bidders were evaluated both commercially and, on their ability, to execute technical requirements. Extensive negotiations were also conducted with bidders between September 16, 2019 and November 8, 2019.

Q. Have the Companies selected contractors based on the bids received?

A. Yes. As described on page 17 of the Second Supplemental Testimony of the GIOP, the Companies' are in the process of executing agreements with two contractors to provide damage prevention mark-out services from February 2020 to December 2022. As of the date of the GIOP's testimony, the agreements were expected to be executed on or about January 1, 2020.

Q. What effect will the new agreements have on the Companies' contractor costs?

A. The Companies allege the contracts will raise the labor rates for these contractors in excess of the standard annual inflation rate used to derive the Companies' Rate Year forecasts.

Q. What are the drivers of the higher contractor bids?

A. As explained on page 18 of the Second Supplemental Testimony of the GIOP, the Companies indicate the increase is attributable to three factors: (1) the prior contractor labor rates were based on long-term, dated agreements; (2) recent unionization of the contractor labor force; and (3) an increased scope of work to incorporate locator assurance technology. The Companies indicate they have not bid this work in over a decade. Furthermore, the Companies explain that while the prior agreements provided for minimal price increases, the rates paid to those contractors were generally lower than market prices at the time. Furthermore, the Companies claim that contractors were no longer willing to accept below-market rates during the recent negotiations. Additionally, the Companies explain that the contractors providing

services under the selected agreements unionized earlier in 2019, and while the Companies indicate they were generally aware that these labor forces were unionizing, the increase in labor rates experienced was significantly higher than anticipated or reflected in the Companies' initial filing. The Companies also indicate the new agreements require that the contractors use updated technology (locator assurance technology that enables real-time tracking of technician performance against industry standards to improve overall effectiveness of locating field work) when marking out facilities, and with this requirement the scope of work required in prior agreements is expanded and will require additional training and inventory for these contractors.

Q. What are the Companies' projected impacts to KEDNY's Rate Year O&M expense forecast due to the changes to the contracts for damage prevention mark-out services?

A. This change increased KEDNY's O&M expense forecast, specifically the cost element Other Initiatives expense by $6.8 million.

Q. What are the Companies' projected impacts to KEDLI's rate year capital and O&M expense forecasts due to the changes to the contracts for damage prevention mark-out services?

A. This change increased KEDLI's O&M expense forecast, specifically the cost element Other Initiatives expense, by $1.9 million, increased Depreciation expense by $0.011 million, and increased Net Utility plant by $1.3 million.

Q. Are there any revisions required to the Company's incremental damage prevention mark-out costs include in the Companies' Second Supplemental Filing.

A. Yes, based on the Companies' response to DPS-1067, there are revisions that need to be made for both KEDNY and KEDLI.

Q. Explain why the revisions need to be made.

A. As explained in response to IR DPS-1067, the Companies explain that the incremental cost calculation applies current vender contract rates, and future vender contract rates under the new contract, to Historic Test Year units (or number of tickets). For KEDNY, certain Historic Test Year tickets were worked by in-

house crews rather than an outside contractor. Inadvertently, the in-house crew ticket counts were not removed from the Historic Test Year in the original calculation of the incremental cost provided in the Companies' second supplemental filing. Therefore, when KEDNY applied the current and new contract rates, the incremental costs were overstated. In addition, a small portion of Historic Test Year tickets had a separate call-out fee rate that was not included in the original calculation, resulting in an understated incremental cost. For KEDLI, the Companies' indicate the original incremental cost calculation did not include the effect of both the separate call-out fee rate as well as a separate time and materials rate, resulting in an understated incremental cost.

Q. Do the Companies provide the impact of the identified calculation revisions that should be made to the Rate Year forecasts?

A. Yes, in the response to IR DPS-1067, the Companies indicate the calculation revisions result in a reduction to KEDNY's incremental O&M expense of $1.888 million, and an increase to

KEDLI's incremental O&M expense of $0.168 million and an increase in incremental capital expenditures of $0.392 million.

Q. Do you agree with the Companies' request to revise their contractor costs relating to damage prevention mark-outs?

A. No. The Companies' request to revise their contractor costs relating to damage prevention mark-outs is too late in the process and puts Staff and the intervening parties in this case at a significant disadvantage. Therefore, we recommend that the Commission deny the Companies' request to revise its contractor costs associated with damage prevention mark-outs.

Q. Explain why you disagree with the Companies' request to revise its contractor costs associated with damage prevention mark-outs.

A. The Companies have known that their contracts associated with their damage prevention program were expiring long before their April 2019 filing. Indeed, well in advance of their April 2019 filing, they began the process of actively procuring contractors.

Q. As of what date were the Companies aware of the need to update the contracts for the contractors performing their damage prevention mark-outs.

A. As shown in Attachment 1, in response to IR DPS-1068, the Companies have been aware for over two years now, that they planned to update their contracts associated with their damage prevention program. In fact, the initial Stakeholder meeting regarding this revision dates to January 1, 2018. Furthermore, not only were the Companies' aware of the potential revision but were also fully aware that the existing contracts were set to expire in May of 2019, which is approximately 22 months prior to the end of the Rate Year, March 31, 2021. However, regardless of the Companies knowledge, it never identified this issue in these proceedings prior to its second supplemental testimony.

Q. Did the Companies provide any testimony in their original, first supplemental, corrections, or rebuttal filings regarding a potential revision to contractor costs related to the damage prevention mark-out contracts.

A. No, the Companies failed to mention, or discuss anything related to a potential revision to their contractor costs related to damage prevention mark-out contracts in any of their prior submissions in these proceedings.

Q. If the costs were not known at that time, could they have addressed this issue in any of their four prior filings in these proceedings?

A. Yes, the Companies could have addressed these issues in their initial, first supplemental, corrections and updates, or rebuttal filings in these proceedings. Whether or not they included forecasts of the resulting increases in contractor costs, the Companies could have provided much background information, including but not limited to, the requirements that the contractors use new equipment and technology. Had the Companies included discussion of this issue in any of their previous filings in these proceedings, the parties to these cases would have had a greater opportunity to more thoroughly examine the issues and to assess the reasonableness of any resulting increases.

Q. Are there any other reasons why the Commission

should deny the Companies' request to revise the rate year forecast for damage prevention mark-out costs?

A. Yes. In the Companies' calculation of incremental damage prevention costs that they expect to result from the new contractor contracts, there is no acknowledgement or reflection of any potential savings that will be realized. In the Companies' response to DPS-1072, they indicate the sole benefits to customers would be enhanced public safety and the safety of the facilities.

Q. What type of savings could result from the new contractor agreements?

A. In their second supplemental testimony, the Companies indicate that one of the reasons for the increased mark-out costs is attributable to the new contractor agreements requiring contractors to use updated technology when marking out facilities. The Companies state the updated technology will "enable real-time tracking of technician performance against industry standards to improve overall effectiveness of locating field work." Thus,

one would expect that, with the use of new technology, there would be some benefits realized such as operational efficiencies of the damage prevention program and increased productivity by the workforce. The Companies have not factored savings and benefits such as, but not limited to, these into their incremental cost calculation. Instead, the Companies' incremental cost calculations assume no benefits or savings would result, and this assumption is untested and unrealistic. If the Companies are not going to consider, in a comprehensive manner, the true incremental costs of the new contractor agreements, which would include applying offsetting benefits/savings that would be realized, then the Companies' current calculation of incremental costs should be rejected. It is not equitable or fair to expect customers to fund the expected incremental costs of the new contractor agreements and allow the Companies' to benefit from savings that will result.

Q. In their Second Supplemental Filing, did the Companies provide an analysis, or perform a

review of all its existing contractors to determine where there was a potential for other cost savings opportunities?

A. No. The Companies failed to consider the possibility of other contract agreements, where savings opportunities could have been achieved.

Q. Didn't KEDLI also revise its LPP program forecast?

A. Yes, however, this was a correction of a cost element forecast that was identified early in the rate making process. For both KEDLI and KEDNY, the change in LPP contractor costs had already been estimated and reflected in KEDNY's initial filing and KEDLI's corrections and updates filing. Referring to the Corrections and Updates Testimony of the GIOP, on page 6, KEDLI states "A correction to the forecast is required because the LPP unit costs were understated due to a formula error in the workpaper used to develop the unit costs." The change in KEDLI's contractor cost forecast for LPP replacement work could be considered a correction, although the Staff Gas Infrastructure and Operations Panel is

addressing the merits of KEDLI's LPP contractor costs.

Q. Did you ask the Companies to provide any additional analysis of their review of other contracts during the pendency of these proceedings?

A. Yes. In IR DPS-1073, we asked the Companies to provide a list of contractors "for which the Company recently reviewed the current contract agreement to determine if there was a necessity and/or cost savings opportunity to renegotiate the agreement." This is similar to the justification the Companies provided for having renegotiated the damage prevention mark-out contracts. In response to IR DPS-1073, the Companies' explained that the request was for "an analysis that has not been performed" and objected to the request. They did state that, notwithstanding the objection, the GIOP "is not aware of any agreements that have been recently negotiated, or that the Companies are preparing to renegotiate that would have a material impact on the Companies' costs in the Rate Year."

Q. What conclusions do you draw from this IR

response?

A. We conclude that the Companies have chosen to try to revise their rate filings for the mark-out costs without assessing whether there are cost savings that may offset the increased costs in other areas of their original filings.

Q. What do you recommend?

A. We recommend disallowing the incremental O&M expense and capital cost associated with the contractor cost revisions for the damage prevention program. For KEDNY, this adjustment reduces Other Initiatives expense by $4.950 million. For KEDLI this adjustment reduces Other Initiatives expense by $1.937 $million, Depreciation expense by $0.001, and Rate Base by $1.290 million.

Q. Does this conclude your testimony at this time?

A. Yes.